

Approved as to
form only:
[Signature]
Date: 1/22/19

OCHS LAW FIRM

TRIAL LAWYERS

LEGAL SERVICES AGREEMENT

RE: Civil suit against those parties legally responsible for the wrongful distribution of prescription opiates and the deleterious effects it has had on the City of Cheyenne for which such parties have collectively been fined and paid over \$500 million in civil penalties.

The City of Cheyenne (hereinafter "CLIENT") hereby retains outside counsel, pursuant to the Rules of Professional Responsibility on a contingent fee basis, to pursue all civil remedies against those in the chain of distribution of prescription opiates responsible for the opioid epidemic which is plaguing the City of Cheyenne including, but not limited to, filing a claim for public nuisance to abate the damages caused thereby. Jason E. Ochs, of the Ochs Law Firm, shall serve as CO-LEAD COUNSEL together with Steven J. Skikos and Mark Crawford of Skikos Crawford (whom are appointed as Opioid MDL National Liaison Counsel).

In consideration, CLIENT agrees to pay twenty percent (20%) of the total recovery (gross) as an attorney fee whether the claim is resolved by compromise, settlement, or trial and verdict (and appeal). The CLIENT acknowledges this fee is reasonable given the time and labor required, the novelty and difficulty of the questions involved, and the skill requisite to perform the legal service properly, the likelihood this employment will preclude other employment by the lawyer(s), the fee customarily charged in the locality for similar legal services, the anticipated (contingent) litigation expenses and the anticipated results obtained, the experience, reputation, and ability of the lawyer or lawyers performing the services and the fact that the fee is contingent upon a successful recovery. **There is no fee if there is no recovery.**

This fee applies to any sums, benefit or value obtained on your behalf, whether monetary or non-monetary, including equitable remedies including abatement, and whether recovered by award, judgment, settlement, bankruptcy proceedings, government-imposed reparations proceedings, regulatory relief/settlement, non-monetary remedial benefit provided by defendants or otherwise. Gross recovery is the value, at the time of settlement or collection (whichever confers the greater value), of any sums, benefit or value obtained on your behalf, as set out above. The gross recovery shall be calculated on the amount obtained before the deduction of costs and expenses. CLIENT grants Attorneys an interest in a fee based on the gross recovery. If a court awards attorneys' fees, Attorneys shall receive the greater of "the gross recovery-based contingent fee" or the attorneys' fees awarded.

The law firms agree to advance all necessary litigation expenses necessary to prosecute these claims, and the CLIENT shall have no obligation to advance any costs or to make any financial contribution to the lawsuit while the litigation is pending. All such litigation expenses, including the reasonable internal costs of electronically stored information (ESI) and electronic discovery generally, or the direct costs incurred from any outside contractor for those services, will be deducted from any recovery after the contingent fee is calculated. **There is no reimbursement of litigation expenses if there is no recovery and CO-LEAD COUNSEL further agree to limit case costs to no more than fifteen percent (15%) of any gross recovery; thereby providing a net recovery of a minimum of sixty-five percent (65%) to CLIENT in the event of a successful resolution.**

Funds that are recovered on behalf of CLIENT shall flow through the CLIENT and may be expended on education, law enforcement and jails, healthcare, or in any other way that the CLIENT deems appropriate.

CO-LEAD COUNSEL shall act as a contact person to keep the CLIENT reasonably informed about the status of the matter in a manner deemed appropriate by the CLIENT and the Rule of Professional Conduct I .4. The CLIENT at all times shall retain the authority to decide the disposition of the case and maintain absolute control of the litigation in accordance with the Rules of Professional Conduct 1.2.

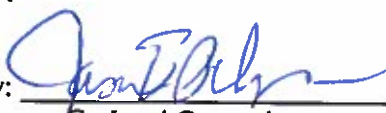
Upon conclusion of this matter, CO-LEAD COUNSEL shall provide the CLIENT with a written statement stating the outcome of the matter and, if there is a recovery, showing the remittance to the client and the method of its determination as required by Rule 1.5(c) of the Rules of Professional Conduct. The closing statement shall specify the manner in which the compensation was determined under the agreement, any costs and expenses deducted by the lawyer from the judgment or settlement involved, and, if applicable, the actual division of the lawyers' fees with a lawyer not in the same firm, as contemplated by Rule 1.5(e)(2) of the Wyoming Rules of Professional Conduct.

Nothing in this Agreement and nothing in the Attorneys' statement to the CLIENT may be construed as a promise or guarantee about the outcome of this matter. The Attorneys make no such promises or guarantees. Attorneys' comments about the outcome of this matter are expressions of opinion only and the Attorneys make no guarantee as to the outcome of any litigation, settlement or trial proceedings.

SIGNED this ____ day of _____, 2018.

By: _____

Approved:

By: 

Co-Lead Counsel
Jason E. Ochs

Ochs Law Firm, PC
690 US 89, Ste. 200
PO Box 10944
Jackson, WY 83001
307-739-3959
jason@ochslawfirm.com

Ochs Law Firm
690 Hwy 89, Ste. 200 ♦ Jackson, WY 83001 ♦ Phone: 307. 739-3959 ♦ www.productattorney.com
259 S. Center Street, Suite 314 ♦ Casper, WY 82601 ♦ Phone: 307-234.3239 ♦ www.wyominginjuryattorney.com
Wyoming ♦ California ♦ Colorado

The National Opioid Epidemic: Legal Action by Counties and Cities to Abate the Opioid Epidemic and Recover Costs to Communities

EXECUTIVE SUMMARY

The opioid epidemic is now a nationally recognized crisis. Its causes are coming to light: intentional opioid overprescribing fueled by overpromotion and the failure of manufacturers and distributors to perform their legal duty to monitor suspicious orders to warn of the increased abuse risk of new formulations.

The consequences of the opioid epidemic transcend party lines, socioeconomic lines and racial lines. Opioid abuse is now the leading cause of death for those under age 50. Many of the costs of the epidemic have fallen on financially burdened counties, cities and municipalities. The epidemic is creating pressure on healthcare facilities, law enforcement agencies, first responders and the communities at large, resulting in rising costs, a strain on resources, and urgent concerns about public safety. It has only grown worse as people who were addicted to prescription pills have, thanks to heightened law enforcement efforts that limit supply, turned to street opioids like heroin.

Counties and cities are taking action now to file legal actions against prescription opioid manufacturers and distributors to hold them accountable for the current crisis. This is not a class action—in order for counties and cities to participate to assure they have a voice in the litigation and in any resolution, they must file their own actions.

The primary goal of the litigation is to recover not only tax dollars spent on the epidemic in the past, but also to secure funds for programs that can effectively treat and reverse this epidemic. These may include:

- ▶ Awareness/Education Campaigns
- ▶ Preventative Measures
- ▶ Monitoring Prescriptions and Use
- ▶ Emergency Costs/Naloxone Overdose Kits
- ▶ Treatment Programs
- ▶ Disposal Programs for Unused Drugs
- ▶ Law Enforcement Costs
- ▶ Other Programs to Care for Addicted Patients and Their Families

Remedies sought will also include claims for injunctive relief to stop illicit opioids from entering your communities and harming your constituents. For those communities impacted by the sober living homes that have contributed to the crisis, the litigation can also address such concerns.

In taking on the multi-billion dollar pharmaceutical industry, it will take the strength of law firms with decades of experience and success litigating against Big Pharma, and which are dedicated to representing cities and counties nationwide in the opioid litigation. The Skikos and Ochs law firms in combination have considerable experience in pharmaceutical drug litigation, and the Skikos firm lawyers have been appointed in national and statewide pharmaceutical litigations and have litigated those cases against Big Pharma to a successful resolution. In January 2018, Steve Skikos was appointed by the federal district judge in Cleveland to be Plaintiffs' Co-Liaison Counsel for the federal MDL opioid litigation, where he will play a major role in the strategy and management of the litigation.

There is little risk to the counties and cities to participate in the litigation. All financial risk will be absorbed by the consortium law firms which work on a contingency fee basis. The counties and cities will pay nothing to file and maintain their actions unless and until there is a recovery.

The Role of Opioid Manufacturers and Distributors in the Epidemic

Opioids are derived from the poppy plant or are man-made in the lab. They range from natural opioids such as opium and morphine, to semi-synthetic such as oxycodone, to fully synthetic such as fentanyl, which is 50 to 100 times stronger than morphine.

Opioids create artificial endorphins in the brain, which bind to the brain's opioid receptors producing euphoric effects and providing pain relief. For many patients, opioids trick the brain into stopping production of endorphins. When this happens, users experience excruciating withdrawal symptoms thus leading to addiction. And when addicted patients can no longer get an opioid prescription, they turn to other means to obtain opioids including turning to black market prescription opioids and heroin. This cycle leads to a cascade of costs not only to the addicted individuals and their families, but also to the cities and counties for emergency response, treatment, law enforcement, homelessness and other costs.

The primary culprits who set the opioid crisis in motion are the manufacturers and distributors of prescription opiates. These powerful and highly addictive drugs were approved by the FDA for limited uses, such as for cancer pain, end of life treatment and as a last resort for pain therapy. But once approved, the manufacturers embarked on a massive and illegal marketing campaign aimed at expanding their use to be a first line of pain therapy and assuring doctors by downplaying their addiction risk. The distributors, for their part, were required by law to monitor sales and to report to the Drug Enforcement Agency any abnormal or suspicious changes in distribution. But the "Big 3"—McKesson, AmerisourceBergen, and Cardinal Health—which control 85 percent of the distribution market, failed to do so. Their tracking and reporting failures hid the true scope of the opioid abuses from authorities and allowed the epidemic to explode.

The deliberate nature of the pharmaceutical industry's conduct is documented in the *60 Minutes* telecast entitled, "The Whistleblower," which aired in October 2017. The joint CBS and Washington Post investigation of the distribution industry describes the manner in which the distributors turned a blind eye to pain pills being diverted to illicit use. *60 minutes* followed up with "Too Big to Prosecute," which aired in December 2017.

The Role of Litigation in Addressing the Epidemic

What started as a trickle of lawsuits by counties and cities has now progressed to a steady tide, as hundreds of lawsuits have been filed nationally against the prescription opioid manufacturers and distributors. In December 2017, a federal judicial panel ordered that all actions filed in federal courts across the country be coordinated in a single proceeding called a Multi-District Litigation (or "MDL") in Cleveland, Ohio. The judge appointed to oversee the litigation, the Hon. Dan Polster, is a highly experienced judge with prior success in running another pharmaceutical MDL involving nearly 1000 cases (*In re Gadolinium*, MDL 1909). Judge Polster recognized that the courts may be the best venue for solving the opioid crisis, and already he set in motion discussions aimed towards early resolution of the cases.

In addition, there are a number of state court litigations against the opioid manufacturers and distributors. For instance, California and Pennsylvania are the homes to several of the manufacturers and distributors, and so it is anticipated those and other state courts will be handling numerous cases filed by counties, cities and other entities as well.

The filed cases include claims for Public Nuisance, which seeks injunctive relief and funding to abate the opioid nuisance created by the manufacturers and distributors. They also include claims for

negligence and related common law claims to recoup prior costs associated with the epidemic. They further assert claims for unfair competition, false advertising and other state and federal statutory claims for injunctive relief, civil penalties and other remedies against the manufacturer and distributor defendants for their unlawful conduct.

In short, the goal of litigation for counties and cities is to ensure they have an action on file and a seat at the table when it comes time for resolution of the cases, so they can have a voice and be in a position to maximize their recovery of funds in the litigation. It is the intent of any resolution that funds go directly to the counties and cities so their elected officials can direct and control where those funds are most needed to combat the epidemic in their communities. Without the clout of actual, active cases on file in their own names, counties and cities are powerless and must rely on others to negotiate a resolution and for funds to trickle to them.

Our Legal Team

Our law firms have the resources and expertise in pharmaceutical drug and complex litigation to maximize recovery for our clients in the opioid litigation. Our lawyers, with the support of their peers, have been appointed to leadership positions by dozens of courts in state and federal pharmaceutical drug coordinated litigations. We have litigated successfully against many of the largest companies involved in this litigation, including Johnson & Johnson, Teva Pharmaceuticals and McKesson. We have access to experts in all fields touching this litigation who will assist us in evaluating the case and guiding our litigation strategy, and, if necessary, testify at trial. We also have considerable experience in negotiating and resolving these highly complex litigations to maximize recovery for our clients, and to take them to trial if they are not willing to resolve litigations fairly and for adequate compensation.

Attached is further information about our law firms. If you would like further information or have questions about the litigation or any potential representation, please do not hesitate to contact any of the lawyers below and we would be happy to set up a call or meeting.

Mark Crawford, Esq.
Skikos, Crawford, Skikos & Joseph LLP
One Sansome Street, Suite 2830
San Francisco, California 94104
(415) 546-7300
(415) 760-0663 (cell)
mccrawford@skikos.com

Jason Ochs, Esq.
Ochs Law Firm
690 U.S. 89, Suite 204
Jackson, Wyoming 83001
(307) 739- 3959
(307) 234-3239 (cell)
jason@ochslawfirm.com

Skikos, Crawford, Skikos & Joseph LLP
One Sansome Street, Suite 2830
San Francisco, California 94104
(415) 546-7300
Contact: Mark Crawford, Esq. (mcrawford@skikos.com)

About Our Firm

For over 25 years, our attorneys have represented claimants in litigation against the country's biggest corporations. From Johnson & Johnson to General Electric, we have a national reputation for successfully leading large-scale (multi-claimant) catastrophic damage and injury claims. We have held leadership positions in dozens of coordinated proceedings in both California and nationally. Some of our current appointments include Co-Liaison Counsel in the Opioid Multi-District Litigation (MDL) and Co-Lead Counsel in the DePuy ASR MDL. We are also Liaison Counsel in the Reglan Judicial Council Coordinated Proceeding (JCCP) in San Francisco and Plaintiffs' Executive Committee in the Talcum Powder JCCP in Los Angeles, among many others.

Court-Appointed Leadership Position – Opioid Federal MDL Litigation

On December 5, 2017, the Judicial Panel on Multi-District Litigation assigned and transferred all pending federal Opioid cases to the Honorable Dan A. Polster in Cleveland for pre-trial coordination and management. On January 4, 2018, Judge Polster appointed Steve Skikos of our firm as Plaintiffs' Co-Liaison Counsel for the coordinated litigation. Steve Skikos previously was appointed by Judge Poster as leadership in the Gadolinium coordinated MDL proceedings, which was handled to a successful conclusion.

Prior Court-Appointed Leadership Positions

Our firm takes pride in an unmatched record of leadership in mass tort cases. We have earned our distinguished reputation based on integrity in the law and dedication to achieving the best possible outcomes for our clients. The following court-appointed positions are among those held by members of our firm:

Multi-District Litigation (MDL)

- **National Opioid Litigation [MDL No. 2804]:** Co-Liaison Counsel
- **Gadolinium [MDL No. 1909]:** Plaintiffs' Executive Committee and Plaintiffs' Steering Committee
- **DePuy ASR [MDL No. 2197]:** Co-Lead Counsel
- **Ephedra [MDL No. 1598]:** Plaintiffs' Steering Committee
- **Ortho Evra [MDL No. 1742]:** Liaison Counsel and Court-Appointed Mediator
- **Rezulin [MDL No. 1348]:** Science and Expert Committee
- **Yaz/Yasmin/Ocella [MDL No. 2100]:** State-Federal Liaison Counsel

California Judicial Council Coordinated Proceeding (JCCP)

- **Actos [JCCP No. 4696]:** Plaintiffs' Executive Committee
- **Baycol [JCCP Nos. 4217 and 4223]:** Plaintiffs' Liaison Counsel
- **DePuy ASR [JCCP No. 4649]:** Plaintiffs' Steering Committee

- **Fosamax** [JCCP No. 4644]: Co-Lead Counsel and Plaintiffs' Executive Committee
- **Gadolinium** [JCCP No. 4546]: Plaintiffs' Liaison Counsel
- **Metabollife** [JCCP No. 4360]: Plaintiffs' Steering Committee and Plaintiffs' Liaison Counsel
- **Ortho Evra** [JCCP No. 4506]: Plaintiffs' Liaison Counsel
- **PPA** [JCCP No. 4166]: Plaintiffs' Co-Liaison Counsel
- **Reglan** [JCCP No. 4631]: Plaintiffs' Liaison Counsel
- **Rezulin** [JCCP 4122]: Plaintiffs' Liaison Counsel
- **Risperdal** [JCCP No. 4775]: Plaintiffs' Co-Liaison Counsel
- **Talcum Powder** [JCCP No. 4872]: Plaintiffs' Executive Committee
- **Toyota Motor Cases** [JCCP No. 4621]: Plaintiffs' Steering Committee
- **Trasylol** [JCCP No. 4593]: Plaintiffs' Lead Counsel
- **Vioxx** [JCCP No. 4247]: Plaintiffs' Executive Committee
- **Yaz/Yasmin/Ocella** [JCCP No. 4608]: Plaintiffs' Executive Committee and Co-Liaison Counsel
- **Zoloft** [JCCP No. 4621]: Plaintiffs' Co-Liaison Counsel

Bankruptcy Proceedings

- **Ephedra** [05-06040-H11]: Official Committee of Unsecured Creditors for the United States Bankruptcy Court, Southern District of California, Ch. 11
- **New England Compounding Pharmacy** [12-19882]: Official Committee of Unsecured Creditors for the United States Bankruptcy Court, District of Massachusetts, Ch. 11

OCHS LAW FIRM

690 US 89, Suite 206
Jackson Hole, Wyoming 83001
307-234-3239

2993 Broadmoor Valley Road, Ste. 104
Colorado Springs, Colorado 80906
719-258-0571

www.productattorney.com

About Our Firm:

The Ochs Law Firm is a boutique litigation firm centrally located in the Rocky Mountain region with offices in Jackson Hole and Colorado Springs. Our firm prides itself on small-town values, professional relationships and the relentless pursuit of justice. As being one of only a few firms in the country with a dual MD/JD trial lawyer, we are uniquely positioned to offer superb representation in the most complex of medical-legal litigation.

Current Nation-Wide Litigation:

1. **In RE Prescription Opiates MDL No. 2809** – Leaders in the Rocky Mountain region for recovery of tax monies depleted due to the opioid epidemic.
2. **Volkswagen Class Action** – Representing Wyoming VW consumers in Federal Court (California).
3. **Toxic Burn Pit Litigation** – Representing former military veterans against Halliburton for unlawful burn pits in Iraq causing serious and permanent lung disease in Federal Court (Maryland).
4. **Syngenta GMO** – Representing over 100 corn farmers in Nebraska, Kansas and Colorado against Syngenta for Syngenta's global market negligence in Illinois.
5. **Johnson & Johnson** – Representing multiple Wyoming women against J&J for their defective transvaginal mesh product causing permanent internal injuries in Federal Court (West Virginia).

Leadership Positions:

Major Mass Tort Affiliations and Appointments:

- a. Gadolinium Litigation against General Electric, Bayer and Mallinckrodt, Inc.
 - i. Co-chair of Expert Committee in Federal MDL (Ohio).
 - ii. Expert Committee Chair in California JCCP 4546 *In Re Gadolinium* Coordinated Action (San Francisco); Deposition Co-Chair in Both MDL and California JCCP.
- b. AMO Complete Moisture Plus (contact lens solution) Litigation against Allergan (California JCCP Coordinated Action in Los Angeles)
 - i. Chair of E-Discovery Committee
 - ii. Co-Chair of Deposition Team
- c. Class Actions
 - i. Co-Counsel in Nationwide Class Action On Behalf of Dentists Against Nobel Biocare for Defective Dental Implants.
 - ii. Lead Counsel in Class Action Against Extended Stay America, Inc for Overcharging Guests.
 - iii. Lead Counsel in Class Action Representing American Workers in Kuwait on Wage/Loss Employment Class Action